

Date: 10/10/2024

Topic: Financial Advisor and clients

- Divide the class into groups
 - 50% of the groups are Financial Advisors (FA)
 - 50% of the groups are clients (Ms. Yanny, Mr. Zapp)
 - Assign a client to each Financial Advisor
 - The FA should develop a proposal for an investment portfolio tailored to the client's profile **based on the Strategic Asset Allocation formulas discussed in Chapter 3.**
 - The client decides what to do with the proposal (accept, reject, renegotiate)
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- Ms. Yanny is 30 years old. She lives in Chicago, Illinois (USA) and works for Clearview Energy, an energy provider company. She does not own a house; her yearly rental payment is \$24,000, and her other living expenses are \$30,000/year. Her annual fixed wage at Clearview Energy is \$80,000 plus a \$60,000 bonus (maximum) related to Clearway Energy, Inc. (CWEN) stock price performance. Her savings are \$60,000. She plans to expend about 50% of her investment returns and reinvest the rest. Her investment horizon is five years.
 - Mr. Zapp is 70 years old. He lives in Munich, Germany, and is retired. He owns a house with a market value of €400,000 and no mortgage, and he does not plan to move to another home or buy more housing. His retirement pension is about €35,000/ year, and his living expenses amount to €15,000/year. His savings are €100,000. He plans to expend about 90% of his investment returns. His investment horizon is one year.

Expected output: the FA and the client should produce a Financial Advisor Consulting Agreement document (pdf) detailing the terms of the agreement as follows:

1. An estimate of the relative risk aversion coefficient of the investor and the method employed to get that estimate
2. The exact amount of money invested by the investor
3. An explanation of the reasons why you choose the specific assets in each portfolio
4. A description of the portfolio weights corresponding to each asset
5. The reasons that justify the choice of portfolio weights and the financial methods employed should be explained.
6. Expected portfolio return, volatility, and Sharpe Ratio
7. When are the assets going to be bought and sold
8. The depository institution for the assets
9. A detailed explanation of all fees and expenses charged to investors
10. Both counterparties should sign the document.

If the counterparties disagree, each party should send a pdf file explaining the reasons for this lack of consensus.

Please send the pdf(s) by email to ypenya@eco.uc3m.es before 23:59, 10/10/2024